

managing those costs. But remember that entertainment is an average throughout the year. When you travel you'll spend more than \$500 on entertainment; when you're at home you'll spend less. If you choose not to travel, you'll spend that money on your hobbies: collecting Civil War memorabilia, taking postgraduate courses, playing golf, fishing, or whatever.

The \$50-a-day budget allows you only \$250 a month for housing and transportation costs. To live on \$250, you have to move to Tennessee or Georgia or one of the other places in chapter 4. You also have to live with only a cheap station car. Don't worry, though. You'll be so busy traveling abroad, enjoying your hobbies, or taking it easy you'll pay little heed to your smaller, simpler living space and old Betsy.

Column 2 shows reduced expenditures on the infrastructure costs: food, apparel, and other items. And because you pay for your own health insurance when you retire, column 2 shows an increase from \$90 to \$150 a month for health care.

IS EVERYTHING INCLUDED IN \$50 A DAY?

When people hear that Vicki and I live on \$50 a day, their first question is usually, "Does that include rent and everything?"

The people most likely to ask that question rent two-bedroom apartments in New York City or have mortgagitis. They can't imagine getting control of their housing costs. But in truth our \$50-a-day budget *doesn't* include "rent and everything." We allocate \$4,000 a year in a separate category for airfares.

Round trip from Buenos Aires to almost anywhere costs a lot. We want to feel free to get up and go when we please, and the budget for airfare helps us do that. Airfare is our only "special" expense that falls outside the \$50-a-Day Rule. Our total budget, then, is \$22,000 a year: \$18,000 for living expenses and \$4,000 for airfares. With the high real interest rates we talked about in chapter 4, we can afford it.